

Strategy Assignment: Lumora HealthTech

Student Assignment Brief

Course Module: Playing Field

Case Study: Lumora HealthTech

Assignment context

Lumora is a mid-sized B2B HealthTech company based in Germany. It develops diagnostic software and digital tools for outpatient clinics and diagnostic labs across the DACH region (Germany, Austria, and Switzerland). Its flagship product is a diagnostic decision-support system (DDSS), widely used in diagnostic centers in Germany and Austria.

A diagnostic decision-support system is a software application that assists clinicians by analyzing patient data (such as symptoms, lab results, and medical history) to generate diagnostic hypotheses, flag potential red flags, or recommend next steps in testing or treatment. For example, Lumora’s DDSS cross-references lab results and patient symptoms to suggest likely diagnoses and diagnostic workflows to lab professionals, helping reduce time-to-diagnosis and minimize error.

In recent years, Lumora’s growth has plateaued. Market saturation and the emergence of specialized competitors are pressuring margins. These competitors often focus narrowly on one modality—for instance, AI-powered radiology tools—making them more agile and cheaper to deploy in specific segments.

Leadership is now evaluating where Lumora should compete over the next 5 years. The question is: Should Lumora maintain, reduce, or expand its current market presence, and how should it prioritize among new segments and product capabilities?

Step 1: Lumora Today – Current Market Scope

Lumora currently operates in the following market spaces:

Country	Customer Segment	Offering	Status
Germany	Diagnostic Labs	DDSS	

Germany	Diagnostic Labs	Workflow Tools	✓
Austria	Diagnostic Labs	DDSS	✓
Austria	Diagnostic Labs	Workflow Tools	✓

Step 2: Assessing Future Market Opportunities

Lumora is evaluating new market spaces by considering three degrees of freedom:

- - Entering the Swiss market
- - Expanding to Private Clinics as a new customer segment
- - Adding Radiology Support as a product offering

External Factors – Market Attractiveness

Market Space	Attractiveness (1–5)	Notes
Radiology Support – Diagnostic Labs – DACH	3	Medium growth; early movers; regulatory risk
DDSS – Private Clinics – DACH	4	Fast adoption, limited internal customization needs
Workflow Tools – Private Clinics – DACH	2	Commoditized; competitive; lower margins
DDSS – Diagnostic Labs – Switzerland	3	Moderate size; language alignment; trusted partners exist
Radiology Support – Private Clinics – Switzerland	4	Strong fit with specialized clinics; high patient load

Internal Insights – Strategic Fit with Capabilities

CTO: “Our decision-support platform is modular and could be extended to private clinics. Radiology workflows, however, require new data pipelines and annotation.”

COO: “Our strength is in structured diagnostics. Radiology is a high-risk investment without external partnerships.”

Head of Sales: “Private clinics are eager to digitize workflows. Our current setup supports quick onboarding for these clients.”

CEO: “We can’t be everywhere. Let’s expand intelligently, not opportunistically.”

VP of Product: “Our strength lies in structured data, rule-based logic, and lab-facing UX. We are not yet strong in image-based diagnostics or mobile-first design.”

Head of Implementation: “We have a rapid onboarding framework for diagnostic labs. Entering radiology would require retraining our service teams.”

Director of Engineering: "We've optimized our engine for structured formats like lab panels, not unstructured imaging files."

Market Size (€ Millions)

Market Space	Germany	Austria	Switzerland
DDSS – Diagnostic Labs	40	15	20
Workflow Tools – Diagnostic Labs	25	10	12
Radiology Support – Diagnostic Labs	30	12	15
DDSS – Private Clinics	28	9	14
Workflow Tools – Private Clinics	20	7	10
Radiology Support – Private Clinics	26	8	18

Lumora Revenue by Market Space – Last Year (€ Millions)

Market Space	Germany	Austria	Total
DDSS – Diagnostic Labs	32	12	44
Workflow Tools – Diagnostic Labs	18	8	26

Market Growth (Avg. Annual % – Last 3 Years)

Market Space	Germany	Austria	Switzerland
DDSS – Diagnostic Labs	2.5%	2.1%	2.4%
Workflow Tools – Diagnostic Labs	1.8%	1.5%	1.9%
Radiology Support – Diagnostic Labs	3.4%	2.9%	3.2%
DDSS – Private Clinics	4.2%	3.6%	4.0%
Workflow Tools – Private Clinics	2.0%	1.7%	2.3%
Radiology Support – Private Clinics	4.5%	3.8%	4.6%

Lumora Revenue Growth by Market Space (CAGR, 3 Years)

Market Space	Germany	Austria	CAGR
DDSS – Diagnostic Labs	2.3%	1.9%	2.1%
Workflow Tools – Diagnostic Labs	1.5%	1.2%	1.4%

Step 3: Your Task – Complete the Market Matrix

Based on the information above, fill in the following matrix with '  ' to indicate where Lumora should play over the next 5 years.

Segment / Country	DDSS	Workflow Tools	Radiology Support
Diagnostic Labs – Germany			
Diagnostic Labs – Austria			
Diagnostic Labs – Switzerland			
Private Clinics – Germany			
Private Clinics – Austria			
Private Clinics – Switzerland			

Step 4: Strategic Rationale Questions (Total: 100 points)

1. Q1. Coherence of Future Scope (30 pts)

- ☐ Is your selected market scope focused and coherent?
- ☐ Does it align with Lumora's strategic capabilities?
- ☐ Have you clearly defined what to exclude?

2. Q2. Justify Two Recommended Market Spaces (30 pts)

- ☐ Explain why each space is attractive and a good fit.
- ☐ Use both score and qualitative evidence from the case.

3. Q3. Trade-Offs and Exclusions (20 pts)

- ☐ Identify two spaces you recommend not pursuing.
- ☐ Provide rationale for why they don't fit.

4. Q4. Balance of Growth and Risk (20 pts)

- ☐ Does your plan show ambition and feasibility?
- ☐ Have you prioritized adjacent or lower-risk expansions?

Sample Solution: Completed Market Matrix

Segment / Country	DDSS	Workflow Tools	Radiology Support
Diagnostic Labs – Germany	✓	✓	
Diagnostic Labs – Austria	✓	✓	
Diagnostic Labs – Switzerland	✓		✓
Private Clinics – Germany	✓		
Private Clinics – Austria			
Private Clinics – Switzerland			✓

Suggested Rationales (Sample Answers)

5. Q1. Coherence of Future Scope

- The proposal focuses on markets where Lumora already has presence or adjacent capabilities. Expansions to Switzerland and private clinics are logical extensions. Radiology is added selectively to avoid overstretching.

6. Q2. Justify Two Recommended Market Spaces

- 1. Diagnostic Labs – Switzerland – DDSS: Aligned with language and existing lab partnerships; moderate market size and growth.
- 2. Private Clinics – Germany – DDSS: Strong demand and fast onboarding capability; high attractiveness and fit.

7. Q3. Trade-Offs and Exclusions

- 1. Workflow Tools – Private Clinics: Low margins and commoditized.
- 2. DDSS – Private Clinics – Austria: Limited size and focus on core diagnostic markets.

8. Q4. Growth vs. Risk Balance

- The proposal balances low-risk adjacent moves (Switzerland DDSS) with higher-growth but focused bets (Radiology Support in labs and Swiss clinics). Radiology expansion is limited to avoid capability stretch.

Grading Rubric

Criteria	Max Points	Evaluation Guidelines
Q1. Strategic Coherence	30	Is the proposed field focused, aligned with strengths, and coherent?
Q2. Justification of Two Market Spaces	30	Are two expansions justified using data and insight?
Q3. Trade-offs and Exclusions	20	Are non-prioritized areas well explained and selective?
Q4. Growth vs. Risk	20	Does the matrix balance ambition with feasibility?